**MAHATMA GANDHI UNIVERSITY**
**MGU-UGP (HONOURS) 2024 Admission Onwards**
**Semester 2 -Model Question Paper**
**MG2DSCCOM100 -Indian Securities Market: Structure and Operations**

**Part A -Answer any 20 questions**
**Each question carries 1 Mark**

**Time: 1 Hr 15 minutes** **Marks: 70**

1.Which of the following is NOT a component of financial markets? [U][1]
a) Capital Market
b) Money Market
c) Real Estate Market
d) Forex Market

2. What is the main role of the financial market? [U] [1]
a) Facilitate trade of physical goods efficiently
b) Provide banking services
c) Ensure inflation remains constant
d) Mobilize savings and allocate resource

3. What is an escrow account in a primary issue? [U][2]
a) A temporary account to hold funds until conditions are met
b) A company's savings account
c) A shareholder's dividend account
d) A government account for tax collection

4. What is a bear market? [U] [3]
a) A market where stock prices are increasing
b) A market with low liquidity
c) A market where stock prices are declining
d) A market where only bonds are traded

5.Which of the following is a major stock index in India? [U][3]
a) Dow Jones
b) FTSE 100
c) BSE Sensex
d) NASDAQ

6. Which of the following is not a regulatory institution in Indian financial system? [U][3]
a) RBI
b) CIBIL
c) SEBI
d) IRDA

7.Which stock exchange is the largest in India? [U] [3]
a) Bombay Stock Exchange (BSE)
b) National Stock Exchange (NSE)
c) Calcutta Stock Exchange
d) Delhi Stock Exchange

8._____ is the process of determining the price of a new security issue in the primary market. [U] [2]
a) Underwriting
b) Price management
c) Price discovery
d) Price fixing

9. What is Virtual Trading? [U] [5]

a) Trading in physical markets
b) Simulating trading activities
c) Automated trading using
d) Trading currencies using blockchain technology

| | | |
|---|---|---|
| using electronic payments | in a risk-free environment | Artificial Intelligence |

10. What does ASBA stand for? [U] [2]

| | | | |
|---|---|---|---|
| a) Application Supported by Bank Amount | b) Application Supported by Blocked Amount | c) Application Submitted by Bank Authority | d) Application Secured by Bank Authorization |

11. The financial institution that initiates the mutual fund is [U] [4]
a) SEBI b) Asset Management Company c) Sponsor d) Banks
12. Identify the correct statement regarding Mutual Funds. [An] [4]
a) All mutual funds have lock in period.
b) Long term mutual funds results in loss.
c) When return of mutual fund increases the service charges will also increases.
d) Investors can choose flexible options according to their investment needs.
13. What is a notified commodity? [U] [4]
a) A commodity that is notified in the newspaper.
b) A commodity that is notified by a broker.
c) A commodity that is notified by the traders.
d) A commodity that is notified by the central government.
14. Derivative helps the parties of the contract to____ [U][4]
a) Lock the price of an underlying asset.
b) To make a profit even in an adverse market.
c) Enter into a contract even without the underlying asset.
d) All of the options
15. What is the purpose of the KYC Form in account opening? [U] [5]
a) To select trading services
b) To provide personal information and supporting documents
c) To list stock preferences
d) To authorize fund transfers
16. The NIFTY Bank index tracks which sector? [U] [3]
a) Information Technology
b) Banking
c) Pharmaceuticals
d) Automobile
17. What is the "T+1" settlement cycle, recently implemented in India, related to? [U][3]
a) Time taken for IPO allotment
b) Time taken for stock settlement after a trade
c) Time taken for dividend payout
d) Time taken for corporate announcements
18. What is the function of a "stockbroker" in the Indian secondary market? [U] [3]
a) To print money.
b) To facilitate transactions between buyers and sellers.
c) To regulate the reserve bank of India.
d) To set government policy.
19. What does SEBI stand for? [U][1]
a) Securities and Exchange Bureau of India
b) Stock Exchange Board of India
c) Securities and Exchange Board of India
d) Securities and Equity Bureau of India.

20. What does a stop-loss order help a trader do? [U] [3]
a) Avoid all risks in trading
b) Automatically sell a stock when it reaches a certain price
c) Buy more stocks at a lower price
d) Calculate profits
21. What is speculation in financial markets? [U][3]
a) Long-term investment in stocks
b) Buying and selling assets for short-term profit
c) Government intervention in markets
d) Avoiding risk in stock trading
22. Which of the following is a depository in India? [U][3]
a) SEBI b)RBI c) NSDL d) BSE **(20*1=20)**

**Part B- Answer any 25 questions**
**Each question carries 2 marks**

23. The primary market segment of capital market is primarily known for ; [U][2]
a) Trading existing securities
b) Issuing new securities
c) Providing liquidity
d) Risk management
24. Who can apply for IPO using the ASBA facility? [U] [2]
a) Only retail investors
b) Only institutional investors
c) Any investor with a bank account offering ASBA
d) Only high net – worth individuals

25. **Assertion (A):** The money market primarily deals with short term financial needs.
**Reason (R):** The capital market is used for raising long term funds. [U, 1]
a) Both (A) and (R) are true, and (R) is the correct explanation of (A).
b) Both (A) and (R) are true, but (R) is NOT the correct explanation of (A).
d) (A) is true, but (R) is false. d) (A) is false, but (R) is true.
26. **Assertion (A):** The secondary market provides liquidity for investors. [ U, 3]
**Reason (R):** Investors can easily buy and sell securities.
a) Both (A) and (R) are true, and (R) is the correct explanation of (A).
b) Both (A) and (R) are true, but (R) is NOT the correct explanation of (A).
c) (A) is true, but (R) is false. d) (A) is false, but (R) is true.
27. In the calculation of free float market -capitalisation weighted indices,which shares have a higher weight? [U][3]
a) Shares with higher prices
b) Shares with lower liquidity
c) Shares with higher free -float market capitalization
d) Shares with equal market capitalization.
28. From the following identify the statements which not explain the benefits of Mutual Funds. [U][4]
I) Investors can opt different types of fund types.
II) Stock brokers manage mutual funds.
III) Less risky compared to stocks.
IV) Mutual funds give tax savings options.
a) Both Statement I and Statement II are correct.
b) Statement II only
c ) Statement III only

d ) Statements II and III are correct.

29. From the following statements identify the type of Mutual Fund. [U][4]

I) Benefits of other mutual funds are utilized.

II) Investors will get the benefits of different classes of assets.

a) Growth fund b) Index fund

c) Fund of fund d) Sectoral funds

30. From the following identify the objectives of commodity exchanges. [U][4]

I) Marketplace of different commodities.

II) Venue for buyers and sellers.

III) Diversified portfolios

IV) Quality control and standardization

a) Options I, II, and III

b) Option I, III, and IV

c) Option II, III, and IV

d) All of the given options

31. What is "margin trading" in the Indian context? [U][3]

a) Trading with borrowed funds from a broker

b) Trading in government bonds

c) Trading in mutual funds only

d ) Trading in IPOs

32. Assertion : Nifty 50 is a price-weighted index.

Reason R): The weight of a stock in Nifty 50 is determined by its market price alone. [U] [3]

a) Both A and R are true, and R is the correct explanation of A.

b) Both A and R are true, but R is not the correct explanation of A.

c) A is false, but R is true.

d) Both A and R are false.

33. Arrange in correct order, the SCORES Redressal Process Flow

(i) Investor

(ii) Lodge Complaint

(iii) Designated Body to submit Action Taken Report

(iv) SEBI

(v) Entity to Submit Action Taken Report [U, 5]

(a) (i) – (ii) – (iii) – (iv) – (v) (b) (ii) – (iv) – (v) – (i) – (iii)

(c) (iv) – (v) – (i) – (ii) – (iii) (d) (i) – (ii) – (v) – (iii) – (iv)

34. Formal document that outlines the conditions of a debenture and specifies the rights of the debenture holders and obligations of the issuing company [U][1]

a) Irredeemable debenture

b ) Debenture Deed

c) Promissory Note

d) Redeemable debenture

35. Which intermediary is responsible for verifying the financial health of the issuing company? [U] [2]

a) Merchant Banker b) Registrar to the issue

c ) Underwriter d)Credit Rating Agency

36. The Chairman of SEBI is nominated by [U][1]

a) SEBI b) RBI c) Central Government d) Central Government and RBI

37. Why might retail investors be hesitant to participate in book-built issues? [An] [2]
a) Uncertainty in final pricing
b) Higher costs involved
c) Limited access to bidding platforms
d) Lack of regulatory approval

38. Analyze the benefit of OFS over IPO for promoters. [An] [2]
a) OFS requires more regulatory compliance
b) OFS allows promoters to exit without issuing new shares
c) OFS involves issuing convertible debentures
d) OFS increases the promoter holding

39. Which of the following reflects a limitation of SEBI's grievance redressal mechanism? [U] [1]
a) It only covers listed companies and registered intermediaries
b) It resolves all complaints within 24 hours
c) It guarantees refunds for all investor losses
d) It eliminates the need for arbitration entirely

40. Match the following document categories with their descriptions: [U][5]

| Column A | Column B |
|---|---|
| (a) KYC Form | (i) Details of services selected |
| (b) Account Opening Form | (ii) Basic information of new investor |
| (c) Mandatory Document | (iii) Uniform Risk Disclosure Documents |
| (d) Voluntary Document | (iv) Power of Attorney |

a) a-ii, b-i, c-iii, d-iv
b) a-i, b-ii, c-iii, d-iv
c) a-ii, b-i, c-iv, d-iii
d) a-i, b-ii, c-iv, d-iii

41. When an exporter enters into a Forward Contract to sell foreign currency, it is an example of: [U][4]
a) Speculation b) Hedging c)Arbitrage d) Risk enhancement

42. Which of the following statements about Futures Contracts is incorrect? [An] [4]
a) Futures contracts have standardized terms and conditions.
b) Futures contracts are traded on exchanges.
c) Margin requirements are fixed for all contracts.
d) Futures can be settled by delivery or cash settlement.

43. Which of the following is the primary difference between Options and Swaps? [U][4]
a) Options have daily settlement, Swaps do not.
b) Options involve rights, Swaps involve obligations.
c) Options are customized, Swaps are standardized.
d) Options are customized, Swaps are standardized.

44. What does 'dematerialization' mean in the context of a depository? [U][3]
a) Converting securities from electronic to physical form
b) Converting securities from physical to electronic form
c) Buying shares in cash

d) None of the other options

45. Match the SEBI Function with Its Description

| Column A (Function) | Column B (Description) |
|---|---|
| 1. Regulation of Stock Exchanges | a. Protects investors from fraudulent activities |
| 2. Prohibition of Market Manipulation | b. Prevents unfair trade practices like front-running |
| 3. Regulation of Mutual Funds | c. Ensures smooth functioning of trading platforms |
| 4. Investor Protection Measures | d. Sets guidelines for fund managers and schemes |

[U][1]

a) 1-c, 2-b, 3-d, 4-a b) 1-a, 2-c, 3-d, 4-b c) 1-d, 2-a, 3-c, 4-b d) 1-b, 2-a, 3-d, 4-c

46. The primary motivation of a speculator is: [U][3]

a) To generate profit from price changes. b) To earn dividends.

c) To achieve long term growth. d) To provide capital for companies.

47. Which of the following are not advisable while doing stock trading? [Ev, 5]

(i) Make emotional trading decisions (ii) Diversification of Investment

(iii) Follow mass blindly (iv) Conduct research

(a) (i) Only (b) (ii) and (iii)

(c) (ii) and (iv) (d) (i) and (iii)

48. **Assertion (A):** Financial markets help in risk management. [U][1]

**Reason (R):** They provide instruments like derivatives to hedge against various risks.

a) Both (A) and (R) are true, and (R) is the correct explanation of (A).

b) Both (A) and (R) are true, but (R) is NOT the correct explanation of (A).

c) (A) is true, but (R) is false. d) (A) is false, but (R) is true

49. A gold mining company, "GoldRush Co.," anticipates producing 10,000 grams of gold in six months. The current spot price of gold is Rs.8,500 per ounce. GoldRush Co. fears that the price of gold may decline before they bring their product to market. They decide to use gold futures contracts to hedge their risk. Each gold futures contract represents 100 grams of gold. The current futures price for gold, expiring in six months, is Rs. 8,600 per ounce. Which of the following strategies best describes how GoldRush Co. should use gold futures contracts to hedge their price risk? [Ev, 5]

(a) Buy 100 gold futures contracts at Rs. 8,600 per ounce.

(b) Sell 100 gold futures contracts at Rs. 8,600 per ounce.

(c) Buy 50 gold futures contracts at Rs. 8,600 per ounce.

(d) Sell 50 gold futures contracts at Rs. 8,600 per ounce.

**(25*2=50)**